



«Approved»
by the Dean
Syzdykova Z.A.
« » of 2024

Syllabus Academic Year 2024-2025

1. General Information	
Course title	Decision Theory
Degree cycle (level)/major	MCS-2201
Year, term	3, 1
Number of credits	5
Language of delivery:	English
Prerequisites	To succeed in this course, you should be comfortable with mathematical reasoning and formal arguments. A background in basic probability theory and some familiarity with calculus are recommended but not required.
Postrequisites	
Lecturer(s)	Jangeldin Alibi, MSc in Statistics, King Abdullah University of Science and Technology, a.jangeldin@astanait.edu.kz Astana IT University, Expo, C1 block, 2nd floor, office C1.1.336
2. Goals, Objectives and Learning Outcomes of the Course	
1. Course Description	The theory of decision-making is devoted to methods for determining the optimal course of actions when a number of alternatives are available, and their consequences cannot be predicted with confidence. This course will use quantitative methods (models) to solve problems and decision -making.
2. Course Goal(s)	Theories and models that should be learned, include probability theory, utility theory and games theory, linear programming models, non - linear programming models and integer programming models.
3. Course Objectives:	Throughout the course, you will learn to explore decision-making processes that incorporate both classical and behavioral perspectives and represent games and strategies, understand different equilibrium concepts. The course combines theoretical foundations with practical applications, using examples from economics, computer science, finance, and public policy.
4. Skills & Competences	Learn the basics of decision theory, including expected utility, risk preferences, and common decision-making biases. Develop skills in modeling strategic interactions using normal and extensive forms. Analyze and identify different types of equilibria, including Nash equilibria and Bayesian Nash equilibria. Understand repeated and stochastic games, exploring dynamic strategic settings.
5. Course Learning	Apply both decision theory and game theory to real-world

Outcomes:	problems. Enhance strategic and decision-making capabilities in various fields.
1. Methods of Assessment	Assignments: Weekly assignments that reinforce key concepts and provide practical applications of the material. Mid Term Exam: Review exam to test your mastery of covered topics, contributing to your overall grade. End Term Project: Practical project with essay component to test your mastery of covered topics, contributing to your overall grade. Final Exam: A comprehensive exam covering all course topics, designed to evaluate your understanding and application of decision theory and game theory.
2. Reading List	Assigned reading materials and presentations should be read prior to class. Class lectures and discussions will proceed with supplemental and advanced topics, which could be difficult to understand unless students have read the assigned material. Readings are listed in the schedule section. All necessary updates and / or changes to the course will be reflected in the Learning Management System (moodle.astanait.edu.kz). Basic Literature: 1. An Introduction to Decision Theory by Martin Peterson. 2. Essentials of Game Theory by Kevin Leyton-Brown and Yoav Shoham. 3. A Brief Introduction to the Basics of Game Theory by Matthew O. Jackson. 4. Thinking, Fast and Slow by Daniel Kahneman. 5. The Art of Strategy: A Game Theorist's Guide to Success in Business and Life by Avinash K. Dixit and Barry J. Nalebuff. Supplementary Literature: 1. Rational Choice in an Uncertain World by Reid Hastie and Robyn M. Dawes. 2. Predictably Irrational by Dan Ariely. 3. The Evolution of Cooperation by Robert Axelrod. 4. Bounded Rationality: The Adaptive Toolbox by Gerd Gigerenzer and Reinhard Selten. 5. Superforecasting: The Art and Science of Prediction by Philip E. Tetlock and Dan M. Gardner.me
1. Resources	Online journals, article, papers, books and internet resources as well as online emulators and online software for simulation.
2. Course policy	Course and University policies include: Attendance: Attendance is not allocated any grading points in the marking scheme, but is compulsory to pass the course. Normally students are required to

achieve course attendance of minimum 70% to get admitted to the examination rubric.

In case a student misses 30% or more class sessions without a valid excuse the instructor has the right to mark him as “not graded”. In such case a student is not admitted to the exam and automatically fails the course.

In cases, when a student misses class session due to valid reasons (is excused by the instructor or the dean’s office) he or she has to confirm the absence reason using a valid document in accordance with the academic policy of AITU.

It should be NOTED that in cases when a student is excused for 30% of the scheduled class sessions or more he or she has to study material provided under the course on their own. Course instructor might provide additional opportunities to submit missed graded pieces of work during office hours or conduct alternative assessment exercises using method of his or her choosing.

Preparation for Class: Class participation is a very important part of the learning process in this course. Although not explicitly grade, students will be evaluated on the QUALITY of their contributions and insights. Quality comments possess one or more of the following properties:

- Offers a different and unique, but relevant, perspective;
- Contributes to moving the discussion and analysis forward;
- Builds on other comments.

Class work: The duration of each lecture and practical lesson is 50 minutes for offline class, and 40 minutes for online class. Students are expected to complete all readings and assignments ahead of time, attend class regularly and participate in class discussions. In case of systemic student’s misconduct, the student can be dispensed from the classes.

Being late on class: When students come to class late, it can disrupt the flow of a lecture or discussion, distract other students, impede learning, and generally erode class morale. Moreover, if left unchecked, lateness can become chronic and spread throughout the class. Therefore, the being late to the class is not welcome and can have restriction activities by the course instructor.

Attestation I and II: Students, who score less than 25% for Attestation period I or Attestation period II (RK1/RK2) automatically fail the course.

Home work / Assignments: The assignments are designed to acquaint students with the theoretical knowledge and practical skills required for the course. The textbook readings will be supplemented with materials collected from recent professional articles and journals. In case of using someone’s work (papers, articles, any publications), all

works must be properly cited. Failure to cite work will be resulted as a cheating from the students and may be a subject of additional disciplinary measures.

Late submissions: Most assignments will be discussed in class on the due date. It is expected that all work will be submitted on time. All gradings are based using a percentage grading scale.

In the case of some extraordinary event, students should notify the course instructor and request an extension of the deadline for submission. If approved, a new date will be given to the student depending upon the circumstances by the instructor.

Final exam* / Final project:

Written comprehensive exam covering all topics, taken after the end of lectures.

Laptops and mobile devices can only be used for classroom purposes when directed by the course instructor. Misuse of laptops or handheld devices will be considered a breach of discipline and appropriate action will be initiated by the instructor.

Online lessons can be used in case if there won't be a chance to make offline traditional lessons. It must not discourage the interest and enthusiasm of students. The main software to run the online lessons is Microsoft Teams for video calls and live webinars, and Moodle (moodle.astanait.edu.kz) as a Learning Management System. Also, some alternatives such as Telegram, Zoom, or other messenger may be involved as an additional workaround.

Cheating and plagiarism are defined in the Academic conduct policies of the university and include:

1. Submitting work that is not your own papers, assignments, or exams;
2. Copying ideas, words, or graphics from a published or unpublished source without appropriate citation;
3. Submitting or using falsified data;
4. Submitting the same work for credit in two courses without prior consent of both instructors.

Any student who is found cheating or plagiarizing on any work for this course will receive 0 (zero) for that work and further actions will also be taken regarding academic conduct policies of the university.

Academic Conduct Policies of the university: The full texts of all the academic conduct code will be posted to the students using Learning Management System (moodle.astanait.edu.kz).

Contacting the Course instructor: The easiest and most reliable way to get in touch with the course instructor is by email. Students must feel free to send email if you have a question related to the course. Instructor responds as soon as they can but not always instantaneously. Besides that, students are also welcomed to arrange a one-to-one

	meeting with the instructor by their office during office hours to discuss the class using both offline and online.
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** Final exam can be given by instructor in the any other forms such as Written Exam, Final Quiz, Oral Tasks and Exams, etc.*

3. Course Content

#	Abbreviation	Meaning
1	ISIS	Instructor-supervised independent work
2	SIS	Students' independent work
3	IP	Individual project
4	PA	Practical assignment
5	LW	Laboratory work
6	MCQ	Multiple choice quiz

3.1 Lecture, Practical/Seminar/Laboratory Session Plans

Week No	Course Topic	Lectures (H/W)	Practice sessions (H/W)	Lab. sessions (H/W)	TSIS (H/W)	SIS (H/W)
1	Introduction to Game Theory	2	3		1	
2	Mixed-Strategy Nash Equilibrium	2	3		1	
3	Alternate Solution Concepts	2	3		1	
4	Extensive-Form Games	2	3		1	
5	Repeated Games	2	3		1	
6	Bayesian Games	2	3		1	
7	Coalitional Games	2	3		1	
8	Fundamentals of Decision Theory	2	3		1	
9	Advanced Decision Theory Concepts	2	3		1	
10	End Term Project presentations	2	3		1	
	Total hours: 60	20	30		10	

3.2 List of Assignments for Student Independent Study

No	Assignments (topics) for Independent study	Hours	Recommended literature and other sources (links)	Form of submission
1	2	3	4	5
1	Introduction to Game Theory: Basic Concepts, Nash Equilibrium.	9	An Introduction to Decision Theory, Essentials of Game Theory	Electronic version (summary/notes)
2	Mixed-Strategy Nash	9	Essentials of Game	Electronic version

	Equilibrium and Applications		Theory, A Brief Introduction to Game Theory	(summary/notes)
3	Alternate Solution Concepts: Dominated Strategies, Minimax Strategies	9	Essentials of Game Theory, Thinking, Fast and Slow	Electronic version (summary/notes)
4	Extensive-Form Games: Perfect Information, Subgame Perfect Equilibrium	9	Essentials of Game Theory, A Brief Introduction to Game Theory	Electronic version (summary/notes)
5	Repeated Games: Finite and Infinite Repeated Games, Folk Theorems	9	Essentials of Game Theory, The Evolution of Cooperation	Electronic version (summary/notes)
6	Bayesian Games: Incomplete Information, Bayesian Nash Equilibrium	9	Essentials of Game Theory, Predictably Irrational	Electronic version (report/essay)
7	Coalitional Games: Shapley Value, Core, Cooperative Games	9	Essentials of Game Theory, A Brief Introduction to Game Theory	Electronic version (analysis)
8	Introduction to Decision Theory: Expected Utility, Risk Aversion	9	An Introduction to Decision Theory, Thinking, Fast and Slow	Electronic version (report/essay)
9	Advanced Decision Theory: Behavioral Decision Theory, Prospect Theory	9	An Introduction to Decision Theory, Bounded Rationality	Electronic version (case study)
10	Applications of Decision Theory: Economics, Finance, Strategic Decisions	9	Superforecasting, An Introduction to Decision Theory	Electronic version (report/essay)

4. Student Performance Evaluation System for the Course

Period	Assignments	Number of points	Total
1 st attestation	Assignments**: assignment 1, assignment 2, assignment 3, Mid Term	60 20 20 20 40	100
2 nd attestation	Assignments**: assignment 4, assignment 5, assignment 6, End Term Project	60 20 20 20 40	100
Final exam*	Written exam		100
Total	0,3 * 1st Att + 0,3 * 2nd Att + 0,4*Final		100

****** The number of assignments can be different. It depends from the course program and designed by course syllabus. But the total points of the assignment are 60 in each control period.

***** Final exam can be given by instructor in the any other forms such as Written Exam, Final Quiz, Oral Tasks and Exams, etc.

Achievement level as per course curriculum shall be assessed according to the evaluation chart adopted by the academic credit system.

Letter Grade	Numerical equivalent	Percentage	Grade according to the traditional system
A	4,0	95-100	Excellent
A-	3,67	90-94	
B+	3,33	85-89	Good
B	3,0	80-84	
B-	2,67	75-79	
C+	2,33	70-74	
C	2,0	65-69	
C-	1,67	60-64	Satisfactory
D+	1,33	55-59	
D	1,0	50-54	
FX	0	25-49	
F	0	0-24	Fail

Based on the specific grade for each assignment, and the final grade, following criteria must be satisfied:

Grade	Criteria to be satisfied
90-100	- Work would be worthy of further dissemination under appropriate conditions - Mastery of advanced methods and techniques at a level beyond that explicitly taught - Ability to synthesize and employ in an original way idea from across the subject - Outstanding command of critical analysis and judgment
80-89	- Excellent range and depth of attainment of intended outcomes - Mastery of a wide range of methods and techniques - Evidence of study and originality of what has been taught - Able to display a command of critical analysis and judgement
70-79	- Attained all the intended learning outcomes for a unit - Able to use well a range of methods and techniques to come to conclusions - Able to employ critical analysis and judgement
60-69	- Some limitations in attainment of learning objectives, but has managed to grasp most of them - Able to use most of the methods and techniques taught - Evidence of study and comprehension of what has been taught but grasp insecure - Some grasp of the issues and concepts underlying the techniques and material

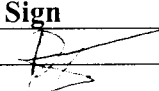
	taught, but weak and incomplete
50-59	- Attainment of only a minority of the learning outcomes - Able to demonstrate a clear but limited use of some of the basic methods and techniques taught - Weak and incomplete grasp of what has been taught - Deficient understanding of the issues and concepts underlying the techniques and material taught
25-49	- Attainment of nearly all the intended learning outcomes deficient - Lack of ability to use at all or the right methods and techniques taught - Inadequately and incoherently presented - Wholly deficient grasp of what has been taught - Lack of understanding of the issues and concepts underlying the techniques and material taught
0-24	No significant assessable material, absent or assessment missing a must pass component

5. Methodological Guidelines

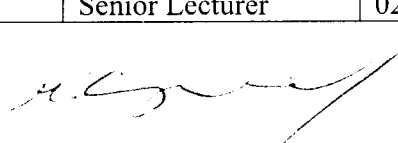
Assessment is administered continuously throughout the course. The students are rated against their performance in continuous rating administered throughout the semester (60%) and summative rating done during the examination session (40%), total 100%. Continuous rating is students' on-going performance in class and independent work. Class work is assessed for attendance, laboratory works' defense and in- class assessments.

- **ISIS (Instructor Supervised Student Independent Study)** -comprises presentation to be done by students independently and checked by instructor.
- **Mid-term Exam and End-term Project** is a review of the topics covered and assessment of each student's knowledge. The form of the midterm and end term exams is complex.
- **Final Exam** is Written comprehensive exam covering all topics, taken after the end of lectures at the Final exam day.

6. Lecturer (lecturers) approvals Full name Job title Date Sign

Full name	Job title	Date	Sign
Alibi Jangelidin	Senior Lecturer	02/09/2024	

Director

 Sergaziyev M.Zh.